

Back in BUSINESS

The good news is that India's exports are picking up but the country needs to push reforms through to reach its potential and conquer global markets

| By Nivedita Mukherjee |

The tide of trade has turned and Indian exports are back on the upward graph. After 13 months of decline, India's exports entered positive territory in November and December. India's exports were swept into rough seas all through 2009 owing to a sharp contraction in demand in the US and Europe, which account for a third of India's total exports. Exporters bled, with their woes peaking in May when consignments dropped 40 per cent, a record decline in 13 years. Quite clearly the stimulus package and the special initiatives—including enhanced benefits for market expansion—unveiled by Commerce Minister Anand Sharma in August 2009, along with incremental improvement in world trade climate, have helped. With a growth of 18.2 per cent in

November and 9.3 per cent in December 2009, there is now new optimism that exports could net \$14 billion in January and register a growth of over 11 per cent.

The turnaround may have been helped by an improved global climate but has been made sustainable with a gradual geographical shift in the export base enabled by creation of new markets. Today, India exports more to countries like Africa, Latin America and CIS (Commonwealth of Independent States comprising former Soviet republics) than the USA and Europe. Indeed, this was part of the vision of the new export policy. Says Sharma, "The new Foreign Trade Policy 2009-14, attempts to diversify India's export products and markets. Expansion of Market-Linked Focus Products Scheme (MLFPS) to 13 new markets and 1,700 products is the highlight of the new policy. At a time

when traditional markets are in a recession, it is important for Indian exporters to engage with other countries and diversify exports." Textile Minister Dayanidhi Maran agrees, "Indian exporters are more dependent on European and the US markets, which tend to move parallel—they boom together and also fall together. Indian exporters should focus on other big markets."

The turnaround has not set off celebrations in the Commerce Ministry, yet. Sharma believes this is just the beginning. According to Commerce Secretary Rahul Khullar, the Government is keen to come back on the high export growth path of around 25 per cent per annum to get to the \$200-billion exports mark. "Given the condition of developed economies, the Government is focusing on extracting the most and pegs India's exports at between \$165 and 170 billion in 2009-

"The Government is set to cut costs and simplify policies and

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TEXTILES

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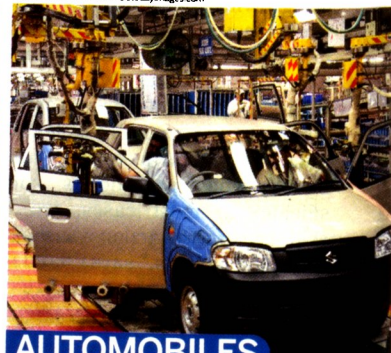
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GEMS AND JEWELLERY

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